

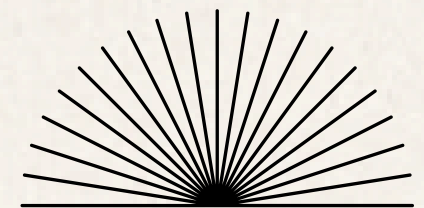
GLOBAL SOURCING

JURY PRESENTATION

ASTHA SINGH

ROSHANI PALKAR

SHAHAZAD M M

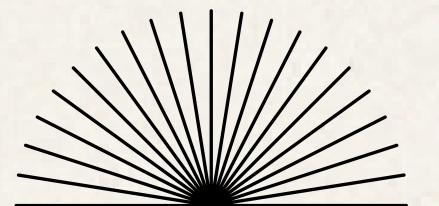


How a Global Shipping Crisis Pushes Down Apparel Sourcing Costs

THREADLY
LONDON

Hypothetical brand - **Threadly London Ltd.**

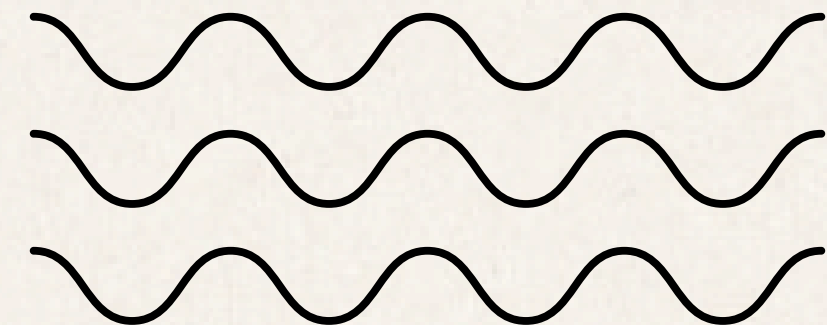
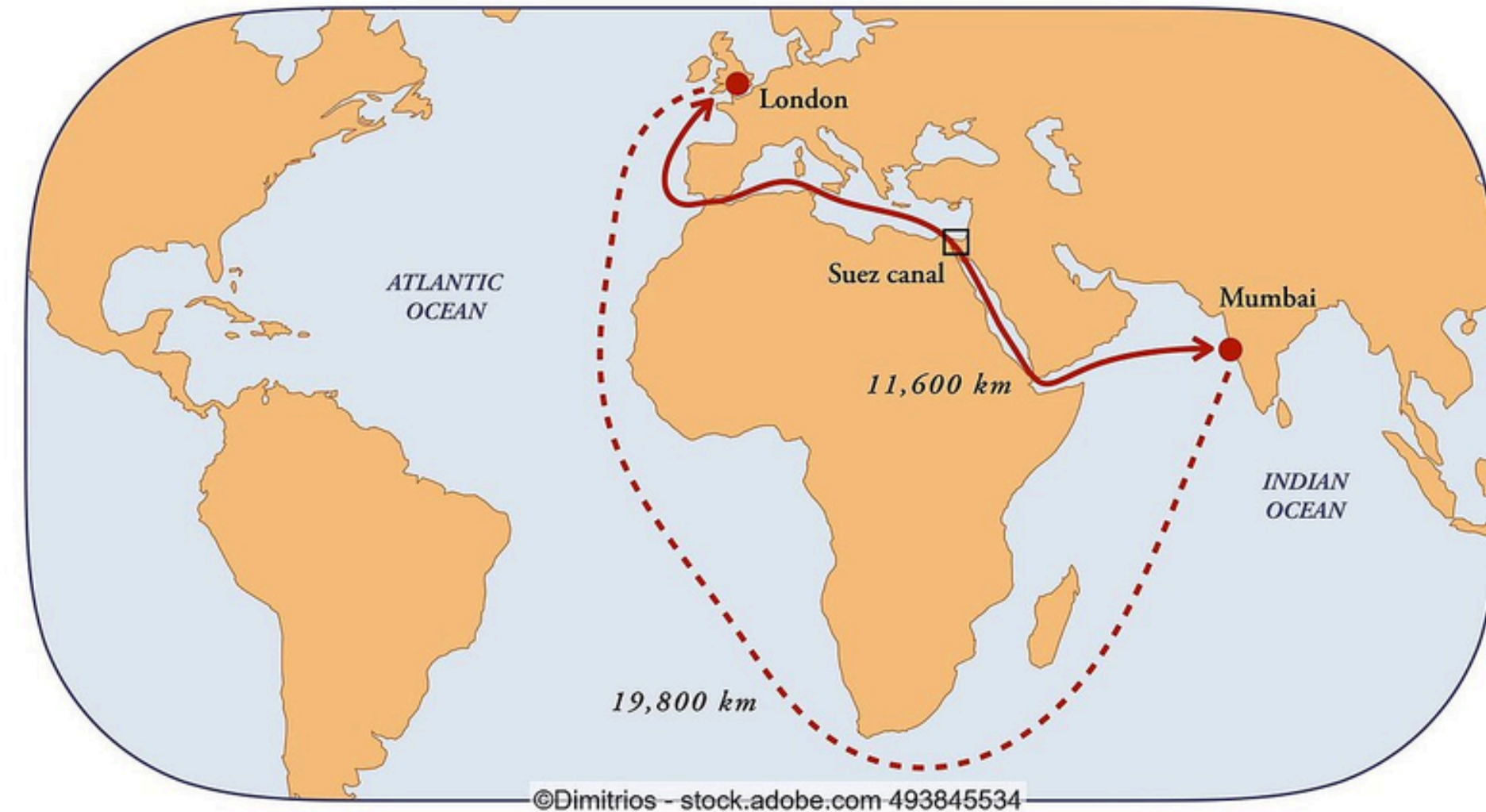
- 10 stores + online retail presence
- Sources Spring/Summer garments from Indian manufacturer
- Usual shipping route: **JNPT → Suez → London Gateway**, 20 day transit time.
- Normal landed cost per dress: ₹ 450
- UK selling price: ₹ 1,000 (gross margin: ₹ 550 per piece)



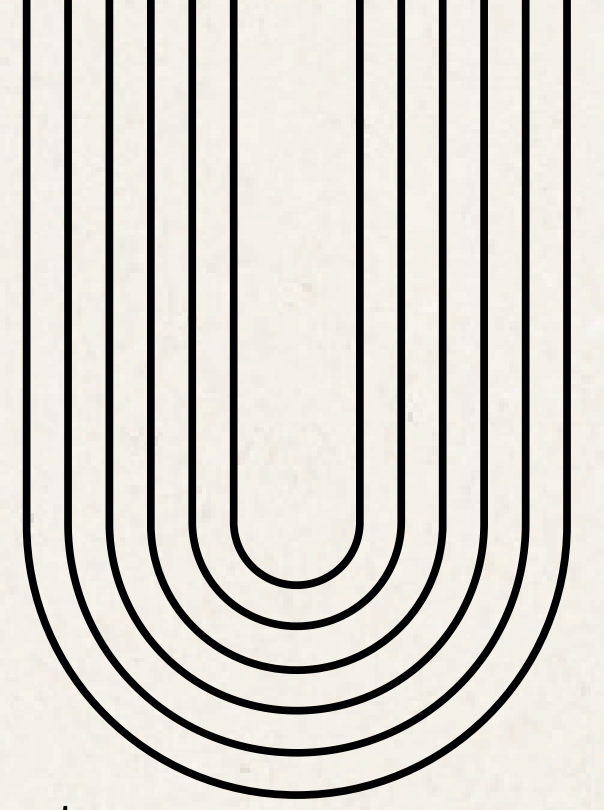
Red Sea Crisis

- Maritime crisis due to attacks and piracy risks
- One of the world's busiest trade corridors disrupted
- Shipping lines avoided Suez Canal for safety
- Re-routing via Cape of Good Hope
- +14–20 days transit, +4,000–6,000 nautical miles
- New landed cost rose to ~₹ 500 per unit
- Shipment arrived ~4 weeks late
- Missed launch window → markdowns required
- Estimated only 70% sold at full price
- Margin dilution across 10,000-unit seasonal order

The Suez Canal



How Each Party Handles Price Negotiations



Retailer/Bonding Partner (Threadly)

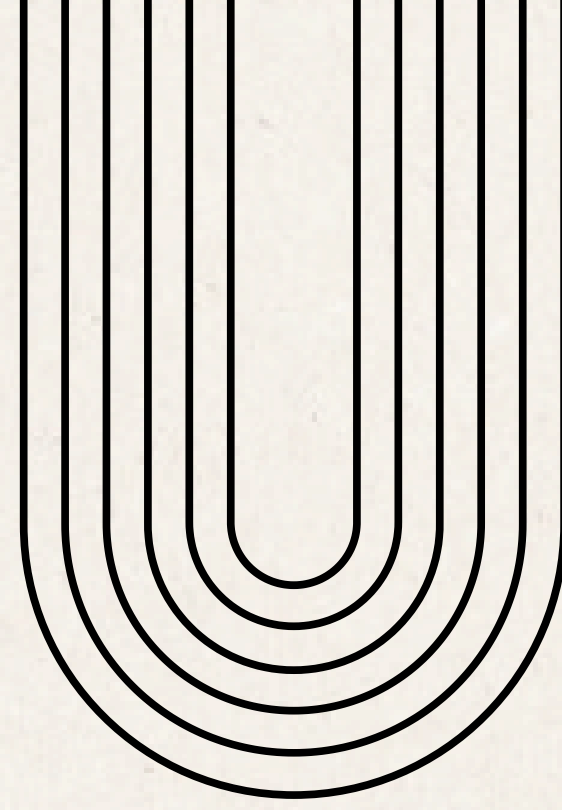
- “Market lost full price window, we need compensation.”
- Delays mean markdown losses + lower sell-through.
- The landed cost increase is not our fault.
- Discount on next order
- Shared cost burden
- Faster replenishment, maybe air freight compensation

Indian Supplier/Vendor Partner

- Shipping crisis is force majeure
- Freight increase is beyond their control
- Domestic operations already affected by low margins
- Vendor shares pain without full burden.

- Negotiation required due to repeat business dependency
- Supplier offered 1% FOB discount (~₹ 10–12/unit)
- Threadly provided multi-season order commitment
- Shows risk-sharing and relationship-based adjustment

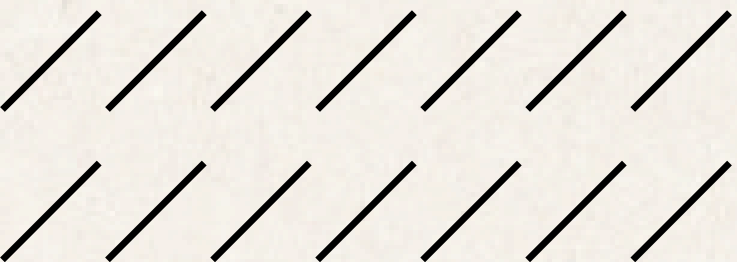
Detailed Consequences of the Disruption



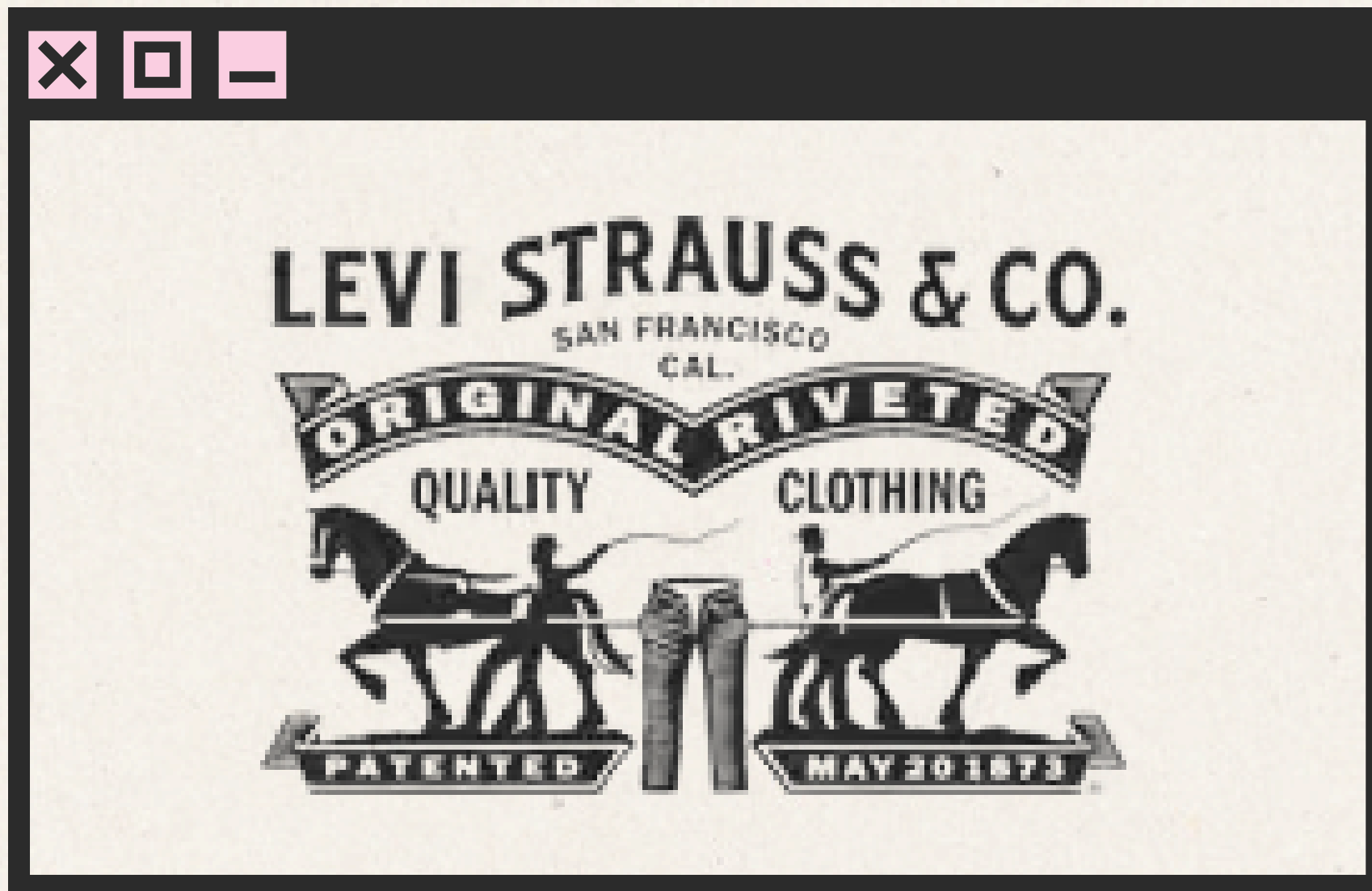
Supplier recovers loss by:

- Cutting ₹ 2–3 from subcontractors
- Delaying compliance spending
- Tightening overtime budgets
- Renegotiating vendor payment terms
- Final burden lands on smaller factories & workers

- Retail prices stay unchanged to avoid competition impact
- Retailers guard consumer affordability
- Suppliers absorb partial cost pressure
- Subcontractors/workers bear final squeeze
- Cost shock flows downstream
- Global disruptions drive sourcing cost compression



LEVI STRAUSS & CO



- American clothing brand founded in 1853
- Operates in 110+ countries with brands: Levi's, Beyond Yoga.
- Global manufacturing network: 510+ Tier 1 factories and 80+ Tier 2 mills across Asia, Americas, Europe & Africa
- Sustainability integrated into governance, progress tracked across 16 people- and planet-first goals.
- 2024 marked deeper integration of climate-risk and ESG metrics into business decision-making
- Known for durability, denim innovation and ethical leadership in fashion

Business Model

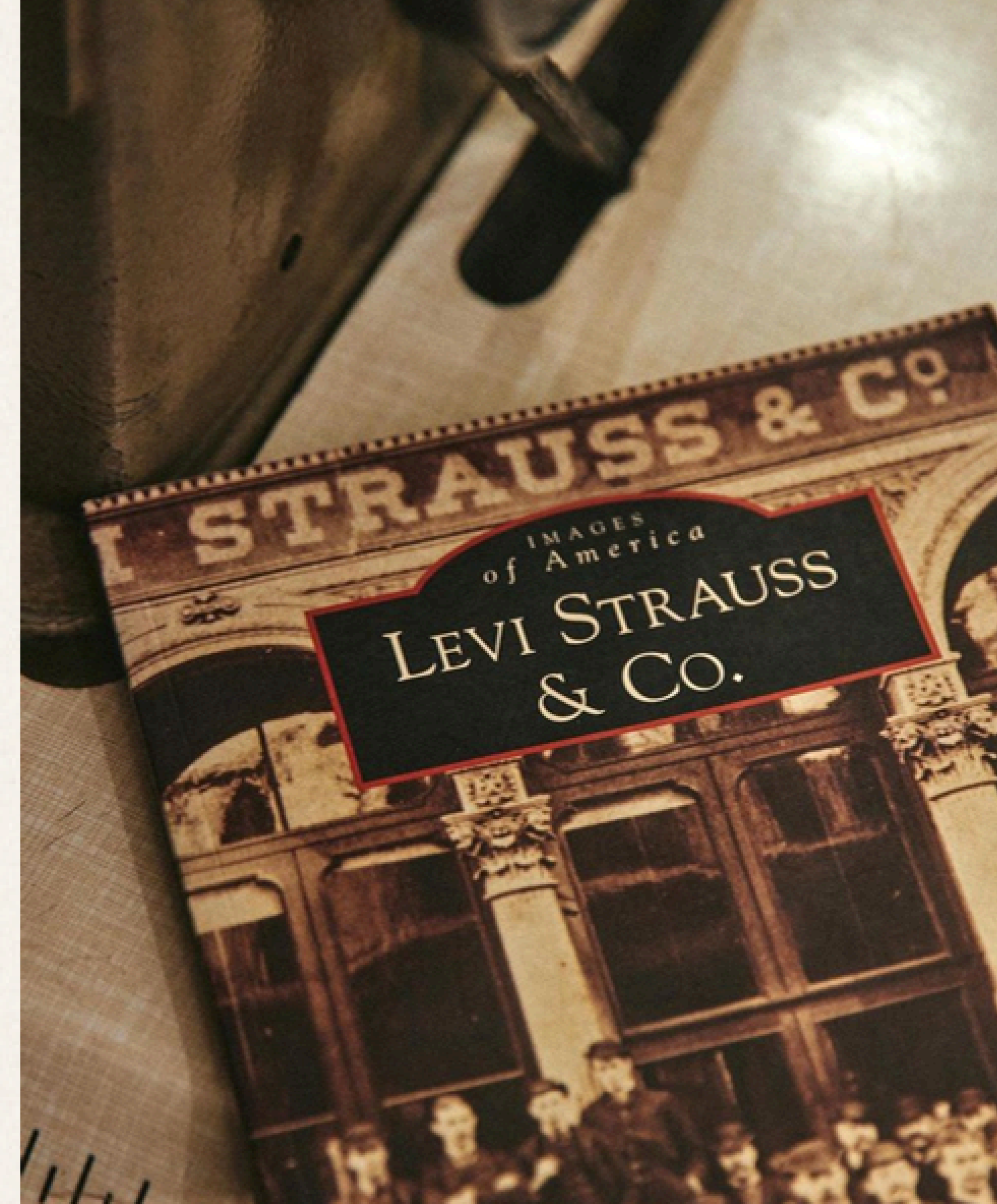
- BRAND PORTFOLIO - LEVI'S , BEYOND YOGA, LEVI STRAUSS SIGNATURE
- 2024 revenue: USD 6.4 billion; 18,700 employees worldwide
- Present in 120+ countries; 50,000 retail points of distribution.
- DTC Model
- E-commerce (key growth driver)
- Wholesale
- Franchising & licensing
- Youth & Young Adults (18–35)
- Circularity and Sustainability - core pillar



- Sources from 28 independent manufacturing countries
- No more than 30% production allowed from any single country.
- Multi-tier supply chain:
 - Tier 1: garment assembly
 - Tier 2: fabric mills
 - Tier 3: raw material
- Brand built on durability, timeless design and premium denim craftsmanship
- “Buy Better, Wear Longer” philosophy encourages mindful consumption
- Positioned as premium yet accessible in global markets

Why we chose ?

- Strong sustainability governance - Jeffrey Hogue (CSO)
- Consistent annual reporting
- High transparency: supplier maps, metrics, audits, chemical & water disclosures.
- “Buy Better, Wear Longer” philosophy promoting responsible consumption
- Features youth climate activist - Xiye Bastida
- Educates consumers through product pages, care guides & upcycling blogs
- Long history of ethical leadership – rejected racial segregation in 1960s Virginia
- Open communication style that admits challenges and focuses on continuous improvement



There's no hiding it: The apparel industry has a tremendous impact on the environment. As a brand that plays a role in this, it's on us to do everything we can to create the styles you love, but do so in a way that still respects our planet. It's an approach best summed by our mantra: Buy better. Wear longer. We'll make products that are sourced in better ways, from better materials, crafted at the highest quality and made to be extremely durable. And you? Just keep wearing the products you love for as long as possible.

Sustainability

- Uses preferred & certified sustainable materials (Better Cotton, recycled fibres)
- Water<Less™ finishing reduces water use in denim production
- Screened Chemistry + ZDHC compliance for safer chemical management
- Circular design strategy aimed at full recyclability by 2026
- Levi's SecondHand resale program to extend product life
- Tailor Shops for repair, customization & upcycling
- Supplier requirements for water stewardship, energy efficiency & waste reduction
- Commitment to 42% supply-chain GHG reduction by 2030 (SBTi-aligned)
- Transparent disclosure of factory lists, sustainability metrics, and progress reports
- Elimination of single-use plastics in packaging by 2030

Challenges

- Heavy dependence on cotton increases vulnerability to droughts, heatwaves and water scarcity.
- Higher cost of sustainable materials and clean technologies affects price competitiveness.
- Tier 2 and Tier 3 suppliers lack advanced capabilities in chemistry, wastewater and renewable energy.
- Limited recycling and circularity infrastructure in key sourcing countries.
- Difficulty achieving full ZDHC and Screened Chemistry compliance across all suppliers.
- Restricted renewable energy availability in manufacturing regions impacts emission-reduction goals.
- Fibre-to-fibre traceability remains incomplete due to fragmented supply-chain data systems.
- Balancing sustainability investments with consumer price sensitivity remains challenging.

Wrangler

Wrangler® is an American denim and lifestyle apparel brand established in 1947 in Greensboro, North Carolina. Originally launched under the Blue Bell Overall Company, the brand was created to offer high-performance clothing tailored specifically for cowboys and rodeo riders. Its first jeans, the 11MWZ later evolved into the 13MWZ, introduced purposeful innovations such as no-scratch rivets, seven belt loops, flat seams, saddle-friendly rivets, and a secure wallet yoke – features designed to support durability and comfort during real-life ranch and rodeo use. Over the decades, Wrangler expanded beyond its Western roots and evolved into a global denim leader, offering products for men, women, and children across retail stores, marketplaces, and e-commerce platforms worldwide. Today, the brand is owned by Kontoor Brands and continues to embody its signature rugged identity – known for durable, authentic American denim designed for everyday performance.



1940S-1960S



1960S-PRESENT



2011-2019

**Key tension: Affordability
vs sustainability
investment.**

**Highly price-sensitive global
apparel market → forces
brands to keep production
costs low.**

**Thin profit margins →
dependence on high
volumes, low-cost fabric
and labour.**

Business Pressure in Global Sourcing

**Fast fashion accelerates
cost pressure → demand
for rapid production and
trend turnover.**

**Environmental and social
costs externalized
historically → low product
price ≠ low impact.**

**Fragmented multi-country
supply chains → sourcing each
stage (cotton → spinning →
dyeing → cut-and-sew) from
lowest-cost regions.**

Global Sourcing Strategy

Strategic Pillar	Implementation	Objective
Diversified Manufacturing Footprint	Combination of in-house production facilities and outsourced global suppliers	Agility, cost optimization, reduced dependency on single region, supply-chain resilience
Supplier Engagement & Training	Regular audits, ESG performance tracking, mandatory webinars on sustainability, compliance guidance	Improved supplier accountability, lower sustainability risk, shared responsibility across supply chain
Science-Based KPIs & Assessments	Performance measurement aligned with The Sustainability Consortium (TSC): water, energy, chemicals, labour	Data-driven sourcing decisions, reduced environmental footprint, prevention of greenwashing
Time-Bound Sustainability Commitments	• 100% sustainable cotton by 2025 • Preferred chemistry by 2023 • 100% renewable energy in owned facilities by 2025 • 50% water use reduction by 2030	Long-term environmental compliance, resource stability, reduced operational risk
Focus on High-Impact Zones (Denim Mills, Dyeing & Finishing)	Adoption of low-water, low-chemical, energy-efficient technologies such as foam-dyeing and e-flow finishing	Maximum environmental benefits at critical stages of denim manufacturing; water, chemical and energy reduction

Circularity & Recycling Initiatives

- WeCare Wrangler® platform (2021) – Sustainability pillars: Planet, Product, People.
- Preferred Materials List for responsibly sourced raw materials and fibres.
- Low-impact fabric & finishing standards with EIM scoring system.
- Adoption of Indigood™ foam-dye technology → 99% less water & lower chemical/energy use.
- Infinna™ recycled fibre denim collection → fibre regenerated from textile waste.
- Reborn / Upcycling collections (2024) → transforming discarded denim into new fashion products.
- Cotton stewardship programmes to promote regenerative agricultural practices.

PREFERRED MATERIALS

To meet our We Care Wrangler standard, 70% of the fabric materials used in a product must be sourced from our Preferred Materials list. To make this list, the material must be backed by data validating its environmental impact. [Learn more about the fibers that make our Preferred Materials List.](#)

LOW IMPACT FABRIC

This standard relates to the fabric dyeing processes. To meet our We Care Wrangler standard, fabric must come from a denim mill (prior to cut and sew) that has achieved at least 90% reduction in fresh water use from an independent third-party established 2018-2019 baseline. [Learn more about our Indigood fresh water savings program.](#)

LOW IMPACT FINISHING

A score for the finishing process of a garment is calculated via Jeanologia's Environmental Impact Measure (EIM) tool that assesses water, energy, chemistry and worker health areas. Products produced with "Low Impact" finished process scores within the EIM tool qualify for our Low Impact Finishing Standard.





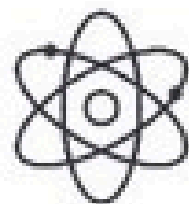
GOALS



EMISSIONS

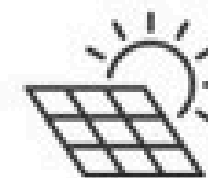
Establish a science-based target by 2022.

SUBMITTED*



CHEMISTRY

Use 100% Preferred Chemistry† that reduces use of chemistry that may contribute to negative environmental impacts or jeopardize worker safety by 2023**.



ENERGY

Power 100% of owned & operated facilities with renewable energy by 2025.



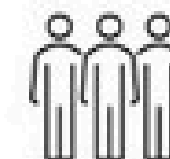
WATER

Save 10 billion liters of water since beginning water savings initiatives in 2008, by 2025.



MATERIALS

Source 100% Preferred Materials, including cotton by 2025 and synthetics by 2030**.



WELL-BEING

Work only with factories that support worker well-being or community development programs by 2030.

Business Model — Wrangler

(Sourcing & Sustainability Lens)

Model Component	Strategic Focus	Outcome / Value Created
Heritage + Mass-Market Positioning	Rugged identity, American denim legacy, high-volume global distribution	Strong emotional brand loyalty & scale advantage
Balanced Production Structure	Control through in-house manufacturing + flexibility via outsourcing	Cost efficiency, agility, and consistent quality
Sustainability as Competitive Advantage	Water/energy reduction, preferred chemistry, responsible cotton, clean technology	Improved relevance for conscious consumers + reduced regulatory & reputational risk
Circular Value Shift	Adoption of recycled fibres, regenerative materials, upcycling, take-back models	Reduced dependence on virgin raw materials + future-ready business model
Transparency & Traceability	Supplier accountability, ESG reporting, supply-chain data disclosure	Higher trust among consumers, investors & regulators
Final Outcome	Affordable, durable, sustainable denim	Resilient brand with stable margins and long-term competitiveness

Sustainability Challenges

Cost pressure
eco-materials
& clean
technologies
raise short-
term
production
cost.

Supply
chain
complexity
global multi-
tier process
hinders full
traceability.

Circularity
infrastructure
gaps
limited
textile-to-
textile
recycling
capacity
globally.

Raw-material
dependence
scaling
sustainable
cotton
requires
farmer
adoption and
incentives

Supplier
compliance
gaps
SMEs lack
resources for
sustainability
investments.

Consumer
price
sensitivity
limits brand
ability to
premium-
price
sustainable
garments.

Industry-wide
transformation
required
one brand
cannot solve it
alone.

Thank You